them under *Chapter I, Part XII* of the Constitution and the allocation between the states of the respective shares of such proceeds;

(ii) the principles which should govern the *grants-in-aid* of the revenues of the states out of the Consolidated Fund of India and the sums to be paid to the states which are in need of assistance by way of grants-in-aid of their revenues under *Article 275* of the Constitution for purposes other than those specified in the provisos to *Clause (1)* of that article; and

(iii) measures needed to augment the Consolidated Fund of a state to supplement the resources of the *panchayats* and *municipalities* in the state on the basis of the recommendations made by the Finance Commission of the state.

2. To review the state of finances, *deficit*, and *debt* levels of the union and states and suggest measures for maintaining a stable and sustainable fiscal environment consistent with equitable growth including suggestions to amend the FRBMAs currently in force. The Commission has been asked to consider and recommend incentives and disincentives for states for observing the obligations laid down in the FRBMAs.

3. In Commission is required to consider –

- the *resources* of the central government and the *demands* on the resources of the central government;
- the *resources* of the state governments and *demands* on such resources under different heads, including the impact of debt levels on resource availability in debt-stressed states;
- the objective of not only balancing the receipts and expenditure on revenue account of all the states and the union but also generating surpluses for capital investment;
- the *taxation efforts* of the central government and each state government and the potential for additional resource mobilization;
- the level of *subsidies* required for sustainable and inclusive growth and equitable sharing of subsidies between the central